

Image 4.9 – Pin bar Pattern in ICICI Bank

Image 4.9 shows a 15-min chart of ICICI Bank for a one week period in Jan 2021.

On 21st Jan, the price displayed a pin bar pattern at the previous swing high, and later sellers took control till EOD.

I hope these three different examples are sufficient to understand the pin bar pattern.

As I said earlier, try to locate this pattern with some historical intraday charts. Then it will be easy to spot it in the live market.

This is the best pattern to identify price rejection at major resistance zones (IBH, PDH, and Swing High). Again, this pattern doesn't give 100% accuracy, so a strict stop loss above the pin bar is mandatory.

Engulfing Pattern

Engulfing is the most powerful candlestick pattern in all types of trading. It doesn't occur every day, but it clearly shows the price rejection at support or resistance when it appears.

